

Financial Ratio Thresholds and Rules

This document defines the thresholds used to evaluate financial ratios. Each ratio is evaluated as PASS, MONITOR, or FAIL based on these criteria.

Valuation Ratio Thresholds

Ratio	PASS	MONITOR	FAIL	Notes	Enabled
P/E Ratio	< 10x	10x-15x	> 15x	Lower is better	Yes
EV/EBITDA	< 5.0	5.0-7.5	> 7.5	Lower is better	Yes
EV/EBIT	< 7	7-10	> 10	Lower is better	Yes
FCF Yield	> 10%	6%-10%	< 6%	Higher is better	Yes
Price to FCF	< 15	15-30	> 30	Lower is better	Yes
EV/Revenue	< 1.0	1.0-2.0	> 2.0	Lower is better	Yes

Profitability Ratio Thresholds

Ratio	PASS	MONITOR	FAIL	Notes	Enabled
Gross Margin	> 40%	30%-40%	< 30%	Higher is better	Yes
Operating Margin	> 15%	5%-15%	< 5%	Higher is better	Yes
Net Margin	> 5%	0%-5%	< 0%	Higher is better	Yes
ROE	> 10	0-10	< 0	Higher is better	Yes
ROCE	> 15	8-15	< 8	Higher is better	Yes

Liquidity Ratio Thresholds

Ratio	PASS	MONITOR	FAIL	Notes	Enabled
Current Ratio	> 1.5x	1.0x-1.5x	< 1.0x	Higher is better	Yes
Quick Ratio	> 1.0x	0.5x-1.0x	< 0.5x	Higher is better	Yes

Leverage Ratio Thresholds

Ratio	PASS	MONITOR	FAIL	Notes	Enabled
Debt-to-Equity	< 0.5	0.5-1.0	> 1.0	Lower is better	Yes
Net Debt/EBITDA	< 2.5	2.5-3.5	> 3.5	Lower is better	Yes
Interest Coverage	> 4.0x	2.0x-4.0x	< 2.0x	Higher is better	Yes

Efficiency Ratio Thresholds

Ratio	PASS	MONITOR	FAIL	Notes	Enabled
Inventory Turnover	> 4x	2x-4x	< 2x	Higher is better	Yes
Days Sales Outstanding	< 60 days	60 days-90 days	> 90 days	Lower is better	Yes

Earnings Quality Thresholds

Ratio	PASS	MONITOR	FAIL	Notes	Enabled
Accruals Ratio	< 10%	10%-20%	> 20%	Lower is better	Yes
EBITDA to FCF Conversion	> 70	40-70	< 40	Higher is better	Yes
Adjusted vs Statutory Gap	< 10	10-20	> 20	Lower is better	Yes

Asset Quality Thresholds

Ratio	PASS	MONITOR	FAIL	Notes	Enabled
Goodwill/Assets	< 30	30-50	> 50	Lower is better	Yes
Capex/Depreciation	0.8-1.2x	< 0.8x or 1.2-1.5x	> 1.5x	Optimal range indicates sustainable investment	Yes
Tangible Book Value	> 50	0-50	< 0	Higher is better	Yes

Cash Flow Ratio Thresholds

Ratio	PASS	MONITOR	FAIL	Notes	Enabled
Cash Conversion	> 1.0	0.8-1.0	< 0.8	Higher is better	Yes
Free Cash Flow	> 0	-5-0	< -5	Higher is better	Yes